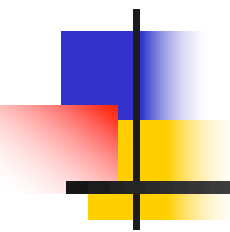




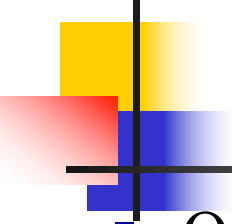
ĐẠI HỌC ĐÀ NẴNG
TRƯỜNG ĐẠI HỌC KINH TẾ

FIN2001 - FINANCIAL MARKETS AND INSTITUTIONS



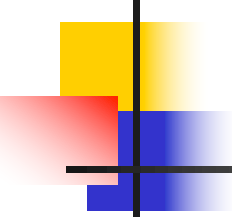
Chapter 4

EQUITY MARKET



Content

- Overview of equity market
 - Overview of joint stock companies and stocks
 - Functions of equity markets
 - Equity Market Participants
 - Organizing equity secondary markets
- Stocks: definition, features and types of stocks
 - Common stocks
 - Preferred stocks
 - Convertible securities
- Equity markets
 - Primary market
 - Secondary markets
 - Vietnam Stock Markets



Readings

- Chapter 10: Madura (2013), Financial Markets and Institutions. South-Western Cengage Learning.
- Chapter 13: Mishkin and Eakins (2017), Financial Markets and Institutions. Pearson.

4.1. Overview of Equity Market

4.1.1. Overview of joint stock companies and stocks

- A joint stock company or corporation is a form of business organisation where its charter capital is divided into shares or stocks. Joint stock companies facilitate raising capital by issuing shares or stocks to both individual (retail) investors and institutional investors.
- Stocks (or equity securities), are financial instruments that represent partial ownership in the corporations that issue them.
- Investors can earn a return from stock in one of two ways:
 - The price of the stock rises over time.
 - The firm pays the stockholder dividends.

4.1. Overview of Equity Market

4.1.1. Role of equity market

- Capital formation: Equity markets enables companies to raise capital by selling shares to investors.
- Provide a secure and regulated investment environment for market participants.
- Stock liquidity: shareholders can easily buy stocks and sell their shares to convert their investment into cash on the stock exchange.
- Pricing of stocks on the basis of demand and supply factors.
- promoting corporate governance.
- Economic indicators: Policymakers closely monitor equity market trends to assess overall economic health and implement policies to regulate the economic activities.

4.1. Overview of Equity Market

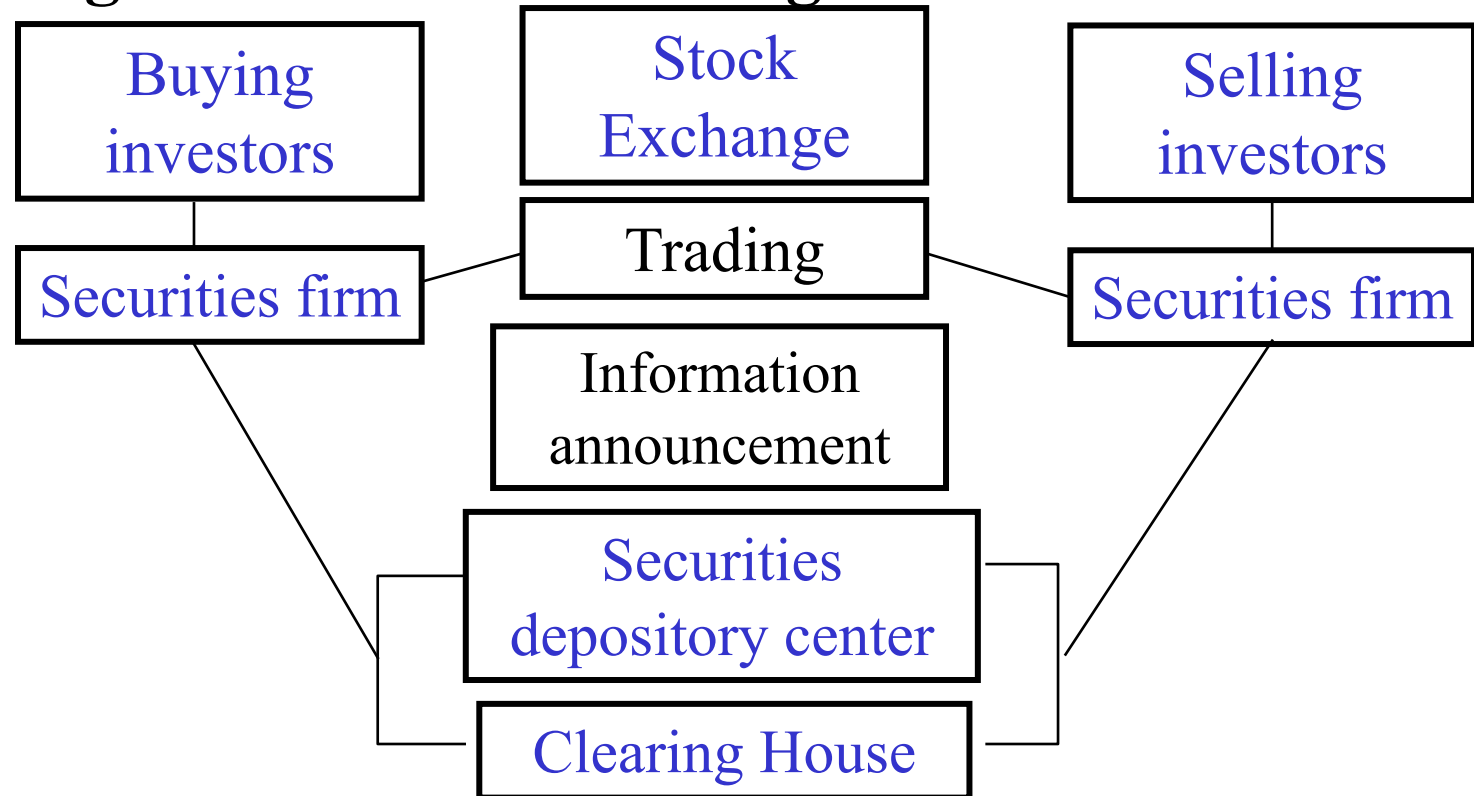
4.1.2. Equity market participants

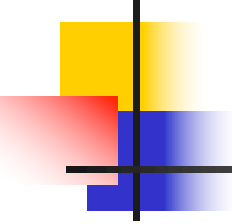
- Issuing firms
- Underwriting groups
- Stock Exchanges
- Financial intermediaries
- Investors: Individuals and institutions

4.1. Overview of Equity Market

4.1.3. Organizing equity secondary markets

- **Organized Stock Exchanges**

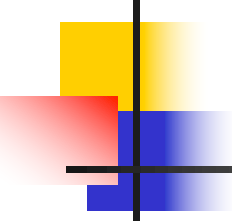




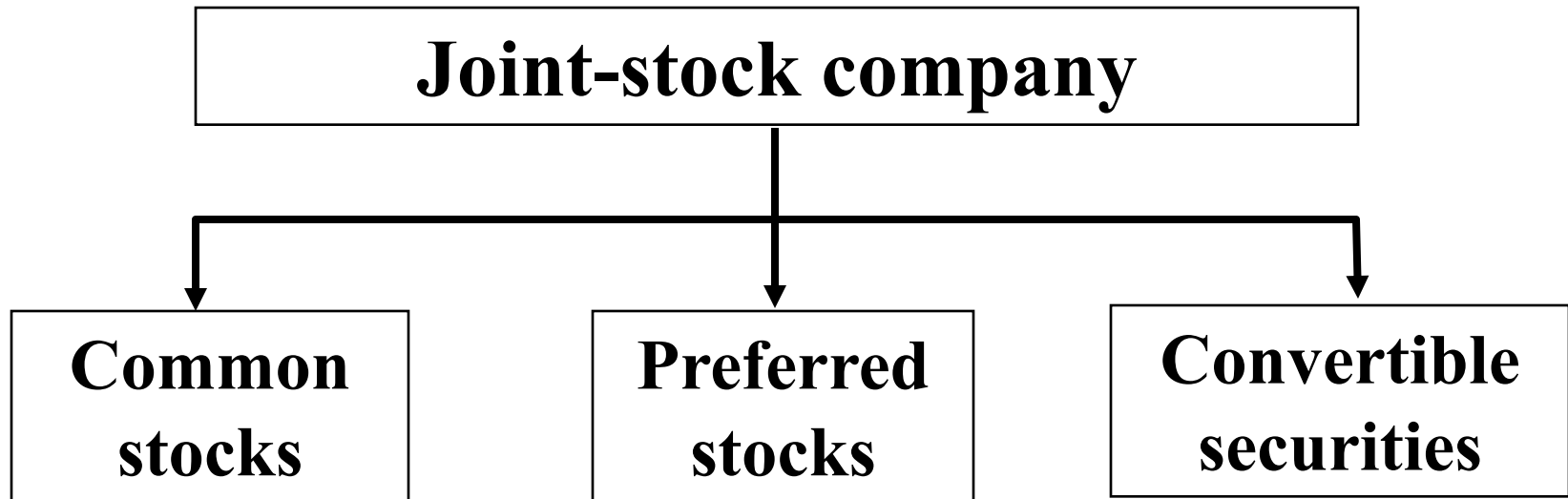
4.1. Overview of Equity Market

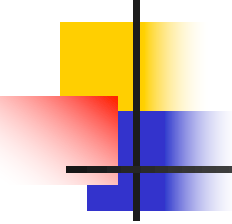
4.1.3. Organizing equity secondary markets

- **Over-the-counter (OTC) market:** Stocks not listed on the organized exchanges are traded in the over-the-counter (OTC) market. Unlike the organized exchanges, the OTC market does not have a trading floor. Instead, the buy and sell orders are completed through a telecommunications network.



4.2. Types of stocks

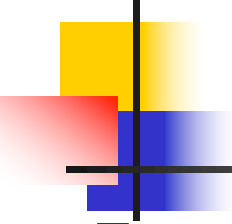




4.2. Types of stocks

4.2.1. Common Stocks

- The most prevalent type of equity securities by far is **common stock**. A share of common stock in a firm represents an ownership interest in that firm.
- Buyers of common stocks become common stockholders.
- **Common stock** is the **fundamental ownership claim** in a public corporation.



4.2. Types of stocks

4.2.1. Common Stocks

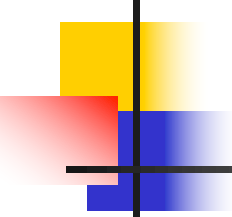
- Features of common stocks:
 - Stocks do not mature and do not guarantee the payment of funds.
 - Stockholders enjoy limited liability, meaning that their losses are limited to the original amount of their investment.
 - Ownership of common stocks gives the stockholders residual claims against the firm's cash flows or assets: dividends are not guaranteed (depends on firms' net income and dividend policy); stockholders have a claim on all assets and income left over after all other claimants have been satisfied.
 - Common stockholders have the right to vote on certain key matters concerning the firm.



4.2. Types of stocks

4.2.2. Preferred Stocks

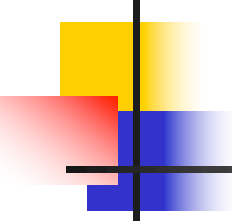
- **Preferred stocks** also represents ownership in the corporation.
- Buyers of preferred stocks become preferred stockholders.
- Preferred stock is often described as a hybrid security that has features of both common stocks and bonds.



4.2. Types of stocks

4.2.2. Preferred Stocks

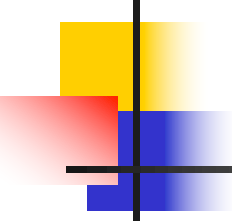
- Features of preferred stocks:
 - Stocks do not mature and do not guarantee the payment of funds.
 - Stockholders enjoy limited liability.
 - Owners of preferred stock usually receive preferential treatment over common stockholders with respect to dividend payments and the claim against the firm's assets in the event of bankruptcy or liquidation.
 - Preferred stock usually does not allow for significant voting rights.



4.2. Overview of public equity

4.2.2. Preferred Stocks

- Companies may customize other “classes” of preferred stock.
 - Participating preferred stock
 - Cumulative preferred stock
 - Convertible preferred stock

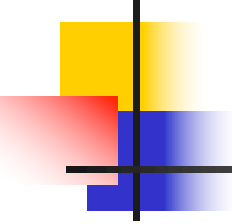


4.2. Overview of public equity

4.2.2. Preferred Stocks

- **Customized preferred stocks**

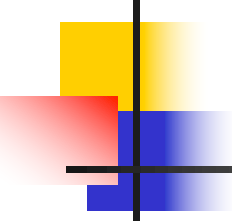
- *Participating preferred stock*: is a type of stock that gives its holders the right to receive additional dividends beyond the fixed dividend rate with common stockholders if the company's earnings surpass a predetermined threshold. This is contrast to nonparticipating preferred stock which means that the preferred stock dividend is fixed – it doesn't change regardless of how profitable (or unprofitable) the firm may become.



4.2. Overview of public equity

4.2.2. Preferred Stocks

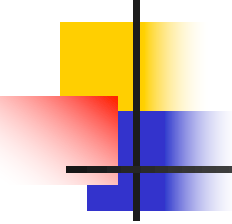
- **Customized preferred stocks**
 - ***Cumulative preferred stock:*** Firms can decide not to pay the dividends on preferred stock without going into default. However, the cumulative feature of preferred stock means that the firm cannot pay a dividend to its common stockholders until it has paid any dividends it skipped to the preferred stockholders.



4.2. Overview of public equity

4.2.2. Preferred Stocks

- **Customized preferred stocks**
 - *Convertible preferred stock:* can be converted into common stock at a predetermined ratio (such as two shares of common for each share of preferred stock).

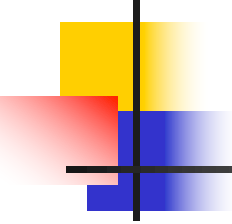


4.2. Overview of public equity

4.2.3. Convertible securities

- The owners of preferred stock normally do not participate in the profits of the firm beyond the stated fixed dividend. All profits above those needed to pay dividends on preferred stock belong to the owners of common stock. In good times, preferred shareholders do not benefit from increased dividends or share price.

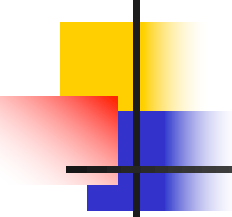
→ **Convertible preferred stock** can be converted into common stock at a predetermined ratio. By buying such stock, an investor can obtain a good dividend return plus the possibility that, if the price of the common stock increases, the value of the convertible stock will also increase.



4.2. Overview of public equity

4.2.3. Convertible securities

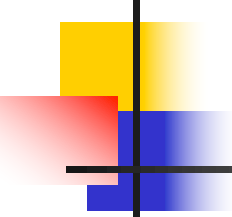
- Bonds usually provide bondholders with fixed income (coupon).
- **Convertible bonds** are bonds that can be exchanged for shares of common stock. Convertible bonds both increase in value with rising stock prices and provide the fixed income and security of bonds.
- Until conversion, convertible bonds are corporate debt, thus their interest and principal payments are contractual obligations of the firm and must be made or the corporation will default.
- Convertible bondholders have lower-ranking claims than most other debt holders, although their claims rank ahead of stockholders in the event of bankruptcy or liquidation.



4.3. Structure of equity market

4.3.1. Primary Markets

- Public offerings:
 - Initial public offering (IPO): a first-time offering of shares by a specific firm to the public. IPO requires the Securities and Exchange Commission (SEC) approval.
 - Secondary stock offering: a new stock offering by a specific firm whose stock is already publicly traded.
- Private Placement: the sale of a new security issue directly to an investor or group of investors.
- New issues of equity securities may be sold directly to investors by the issuing corporation, but they are usually distributed by **an investment banker in an underwritten offering.**



4.3. Structure of equity market

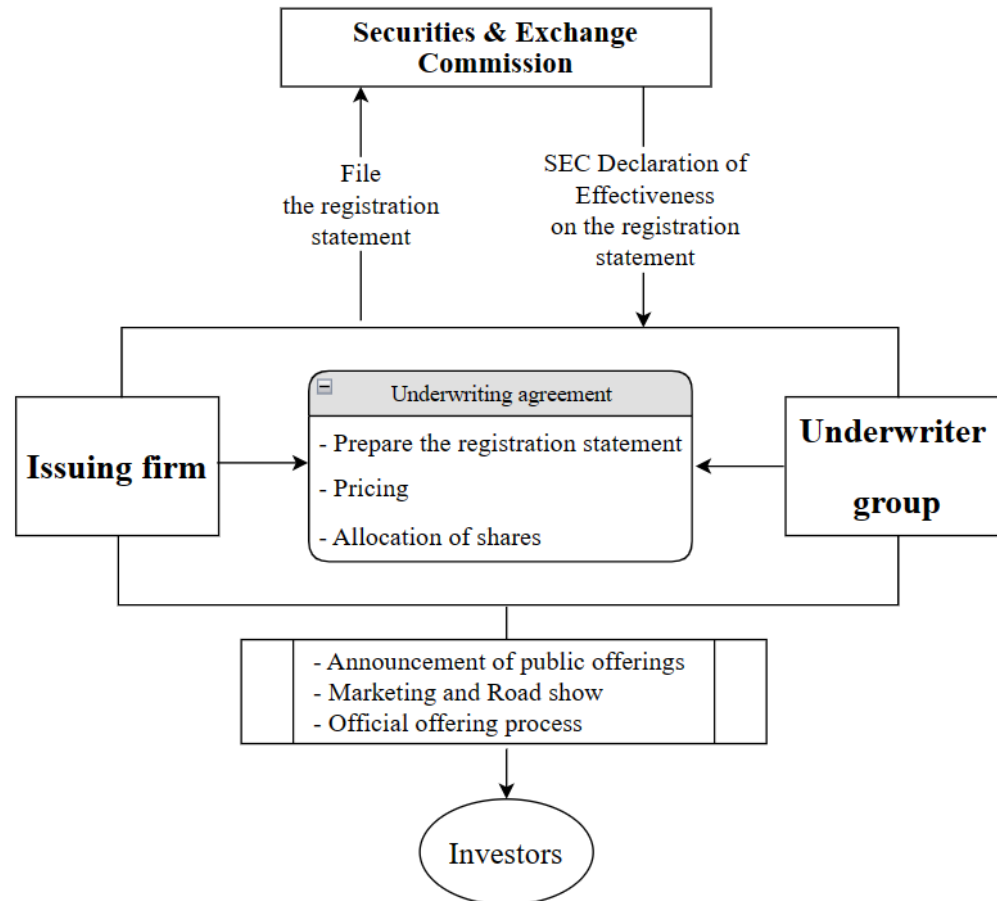
4.3.1. Primary Markets

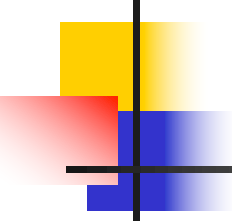
- Public offerings requirements:
 - These offerings must comply with certain legal and regulatory requirements to protect investors and ensure transparency in the capital markets (ex: a minimum charter capital, a minimum level of earnings over a recent period, ownership commitment,...)
 - A firm planning on going public must hire an investment bank or a securities firm that serves as the lead underwriter for the public offerings.

4.3. Structure of equity market

4.3.1. Primary Markets

■ Public offerings process:

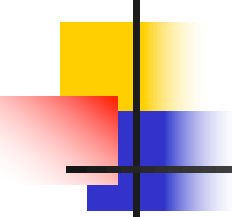




4.3. Structure of equity market

4.3.2. Secondary Markets

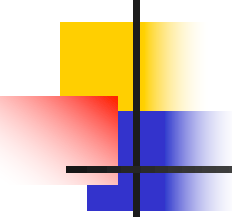
- Any shares of stock that have been issued as a result of an IPO or a secondary offering can be traded by investors in the secondary market. Stock trading between investors occurs on the organized stock exchanges and the over-the-counter (OTC) market.
- In Vietnam, stock trading between investors occurs on the organized stock exchanges (HSX, HNX) and the OTC market (UPCOM).



4.3. Structure of equity market

4.3.2. Secondary Markets

- Each organized exchange has a trading platform that facilitates regular buying and selling of the listed shares.
 - Corporations must meet specific legal and regulatory requirements to have their stock listed on the stock exchange to protect investors and ensure transparency in the capital markets (ex: a minimum charter capital, a minimum level of earnings over a recent period, ownership commitment,...)
 - As time passes, new listings are added and some firms are delisted when they no longer meet the requirements.



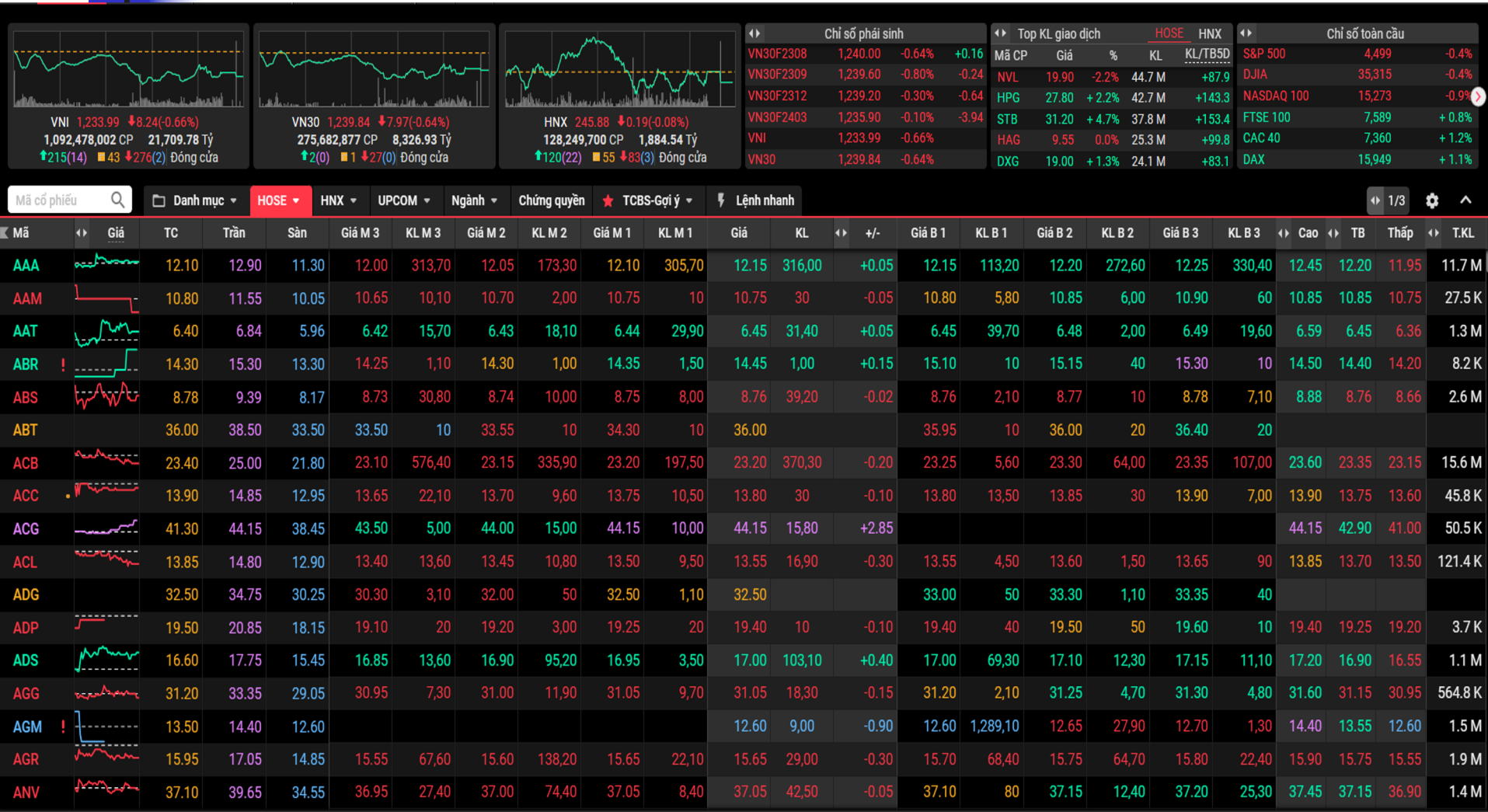
4.3. Structure of equity market

4.3.2. Secondary Markets

- Like the organized exchanges, the OTC market also facilitates secondary market transactions.
 - Stocks not listed on the organized exchanges are traded in the over-the-counter (OTC) markets.
 - Unlike the organized exchanges that have trading floor and trade stocks in an auction format, the OTC markets does not have a trading floor. Instead, they trade on a telecommunications network where bid and ask prices are set by the market makers.
 - The OTC stock market is primarily a dealer market.

4.3. Structure of equity market

4.3.3. Vietnam Stock exchanges (HSX)

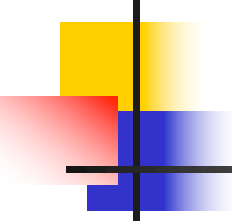




4.3. Structure of equity market

4.3.3. Vietnam Stock exchanges

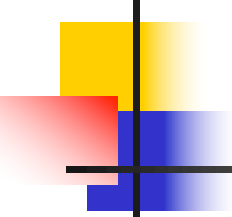
- Structure of the stock markets
- Law and regulations of stock trading: tickers, trading volume size, trading and settlement process, trading schedules, price quotes, price variance, price ceilings, price floors, reference price,...
- Reading a stock price board



4.3. Structure of equity market

4.3.3. Vietnam Stock exchanges

- Trading and settlement process
 - Auction format: periodic auction and instantaneous auction, how orders are executed and stock prices are set.
 - Direct negotiations
- Stock transactions – Place an order: An At-the-Opening order (ATO), An At-the-Close order (ATC), A limit order (LO), A market order, A Post Limit order (PLO).

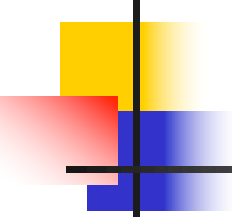


4.3. Structure of equity market

4.3.2. Vietnam stock exchanges

- **Stock transactions – Place an order**

- **An At-the-Opening order (ATO)** is an order to buy or sell stocks at the price available at the very beginning of the trading day.
- **An At-the-Close order (ATC)** is an order to trade stocks at the price available at the end of the trading day.
- **A limit order (LO)** is an order to buy or sell at a designated price or at any better price. Here, buy orders specify a maximum acceptable price, and sell orders specify a minimum acceptable price.



4.3. Structure of equity market

4.3.2. Vietnam stock exchanges

- **Stock transactions – Place an order**

- A **market order** to buy or sell a stock means to execute the transaction at the best possible price available at the time the order reaches the exchange. The buy order will be executed against the lowest ask price, and a sell order will be executed against the highest bid price. Variants of market orders include a **market price order (MP)**, a **Market-to-Limit order (MTL)**, a **Match-or-Kill order (MOK)**, a **Match-and-Kill order (MAK)**.
- A **Post Limit order (PLO)** is an order to trade stocks at the closing price after the close time.